EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Lasam, Province of Cagayan was once part of the town of Gattaran. It became a town through a bill introduced by Congressman Paulino Alonzo of the 2nd District of Cagayan. It was named after the late Governor Hilario Lasam and was inaugurated on July 1, 1952. Lasam is now classified as a third (3rd) class municipality. It is composed of thirty (30) barangays.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Lasam for CY 2024 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition and financial performance of the Municipality of Lasam, Cagayan for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Particulars	2024	2023	Increase/ (Decrease)
Financial Position			
Assets	718,101,415.36	669,313,002.12	48,788,413.24
Liabilities	123,343,913.70	91,976,198.99	31,367,714.71
Government Equity	594,757,501.66	577,336,803.13	17,420,698.53
Financial Performance			
Income	225,463,816.44	214,083,506.97	11,380,309.47
Expense	210,239,294.53	186,435,912.43	23,803,382.10
Net Income	15,224,521.91	27,647,594.54	(12,423,072.63)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2024, in terms of implementation of programs, projects, and activities, are as follows:

Program/ Project/ Activity	Amount
Development of Lasam Town Center Phase II	9,995,271.46
Concreting of Farm to Market Road at Tucalan Passing	4,997,413.40
Development of Lasam Municipal Park Phase V	3,701,551.42
Local Access Road at Battalan	2,996,973.25
Road Reblocking at Centro 02 (INC to CSU)	2,498,391.58
Construction of Modern Abattoir (Slaughterhouse) Phase II	2,000,000.00
Desilting of Tucalan Creek at Nabannagan East	1,998,798.26
Development of Lasam Public Cemetery Phase III	1,997,719.85
Development of Lasam Public Market	1,996,396.41
Installation of Jetmatic Pump Phase V	998,707.70
Total	**33,181,223.33**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Lasam, Cagayan for the year-ended December 31, 2024 due to: (1) irregularities in the conduct of the one-time cleansing of the PPE accounts, thus, affecting the reliability of the said account amounting to P476,793,680.57; and (2) non-conduct of physical count of local road networks, thus, affecting the reliability of the said account amounting to P175,675,170.98.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Funds received from various sources totaling P10.250 million for calamity assistance were not recorded in the Trust Liabilities-DRRMF account, rather, the same were recorded under the Due to NGAs and Due to LGUs accounts, which casts doubts on the accuracy of financial records.

   Moreover, the calamity assistance received in CYs 2020 and 2021, totaling P0.250 million from various sources, were not yet utilized during the year, hence, the funds remained idle, and the purposes for which they were intended were not achieved.

   We recommended that the Management require the Municipal Accountant to draw the necessary journal entry to reclassify the funds received for calamity assistance totaling P10,250,000.00 from the Due to NGAs and Due to LGUs accounts to Trust Liabilities-DRRMF account and record future financial assistance received for disaster related purposes in the Trust Liabilities-DRRMF account.

   Moreover, we recommended that the funds from other sources received in previous years be utilized in accordance with the Memoranda of Agreement. We also

recommended that these calamity assistance funds be included in the LDRRMF utilization report in the forthcoming years.

2. Overtime services rendered by LGU personnel totaling P0.606 million were charged against the appropriation for the Salaries and Wages-Regular of their respective offices due to the lack of appropriation for Overtime and Night Pay in the Annual Budget of the LGU for CY 2024, thus, rendering the disbursements irregular.

   Moreover, the payment of overtime services was not supported with complete documentation, thereby casting doubt on the propriety of the transactions.

   We recommended that the Management undertake the following:

   A. Require the LGU officials, who approved the payment of the overtime services despite the absence of an appropriation therefor, to refund the overtime pay totaling P606,482.74;

   B. Ensure that overtime services are provided with an appropriation under the Personal Services budget of the Municipality;

   C. Require the Municipal Budget Officer to stop the practice of charging expenditures against appropriations that are intended for other purposes or a specific purpose; and

   D. Require the Municipal Accountant to appropriately record the payment of overtime services and ensure that it is supported with complete documentation.

3. The Government share of the Municipal Employees for HDMF (Pag-IBIG) was found to be excessive, thereby, incurring unnecessary expenses totaling P0.671 million.

   We recommended that the Management strictly follow the computation of employer share, and stop the payment of excessive contributions.

G. Summary of Total Suspensions, Disallowances, and Charges as of December 31, 2024

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	679,640.45	-	-	679,640.45	-
Current Year	-	-	-	-	-
Total	**679,640.45**	**-**	**-**	**679,640.45**	-
Disallowances					
Prior Years	16,303,819.52	**-**	**-**	16,303,819.52	-

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Current Year	-	-	-	-	-
Total	**16,303,819.52**	**-**	**-**	**16,303,819.52**	**-**
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**

H. Status of Implementation of Prior Year's Audit Recommendations

Out of fifteen (15) audit recommendations embodied in the CY 2023 Annual Audit Report, nine (9) were fully implemented, three (3) were partially implemented and three (3) were not implemented.